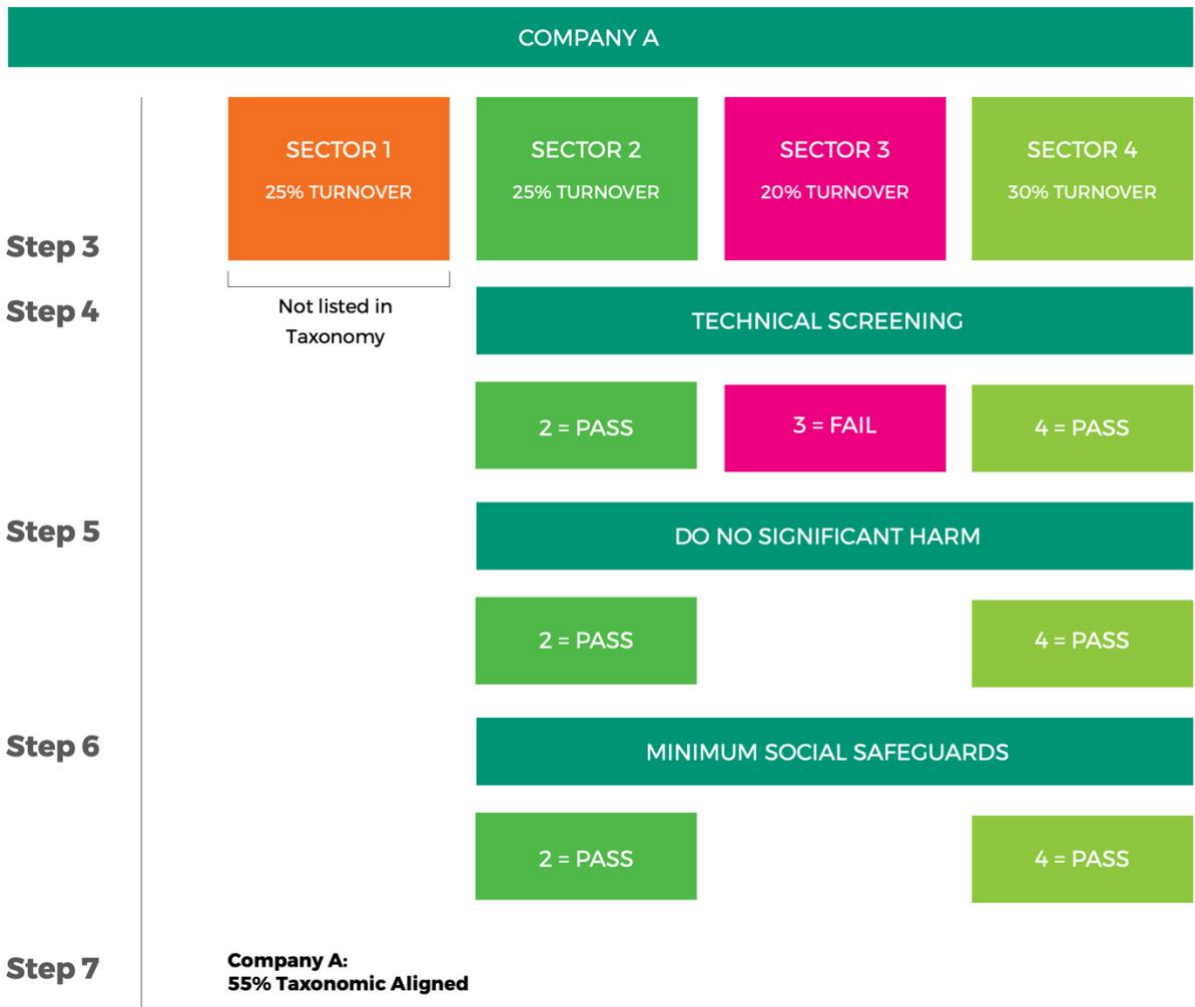


Example of how a company’s taxonomic alignment with the South African Green Economy Taxonomy is calculated:

Taxonomic alignment is assessed using a binary evaluation for each economic activity within a company. An activity is classified as green only if it meets all the taxonomy requirements; otherwise, it is not considered aligned.

Aligned activities are then weighted based on the most relevant financial metric for the company—typically turnover, capital expenditure, or operating expenditure. The company's overall taxonomic alignment is expressed as a percentage, representing the proportion of aligned activities relative to total company activities.



In the example above, Company A’s turnover is distributed across four economic sectors. Sector 1 is not listed in the SA Green Finance Taxonomy and should therefore be excluded from screening. Sectors 2, 3, and 4 are included in the taxonomy and qualify for technical screening in Step 4. However, Sector 3 fails the technical screening, leaving only Sectors 2 and 4 to proceed.

Sectors 2 and 4 successfully meet all the Technical Screening, Do No Significant Harm, and Minimum Social Safeguards criteria, making them taxonomically aligned. However, these sectors account for only 55% of Company A’s total turnover (Sector 2: 25%, Sector 4: 30%), meaning only this portion can be considered taxonomically aligned.